

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

COMMITTEE SUBSTITUTE
FOR ENGROSSED
HOUSE BILL 3647

By: Stinson, Archer, and Newton
of the House

and

Rosino of the Senate

COMMITTEE SUBSTITUTE

[health information - Oklahoma Health Care
Transparency Initiative Act of 2026 - Office of the
State Coordinator for Health Information Exchange -
powers and duties of the Office - state-designated
entity for health information exchange - requirement
- exemptions - Oklahoma Health Care Transparency
Initiative - governance and oversight - compliance -
public health data - unique identifier -
confidentiality, privacy, and security of data -
penalties - remittance or mitigation of penalties -
Insurance Department - proceeds - Oklahoma Health
Care Authority - allowed uses of funds - Health Care
Cost Transparency Board - Oklahoma Open Records Act -
codification]

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified
in the Oklahoma Statutes as Section 1-130 of Title 63, unless there
is created a duplication in numbering, reads as follows:

This act shall be known and may be cited as the "Oklahoma Health
Care Transparency Initiative Act of 2026".

SECTION 2. AMENDATORY Section 1, Chapter 250, O.S.L.

2022 (63 O.S. Supp. 2025, Section 1-132.1), is amended to read as follows:

Section 1-132.1. A. There is hereby created the Office of the State Coordinator for Health Information Exchange within the Oklahoma Health Care Authority.

B. The Office shall have the power and duty to ~~oversee~~:

1. Oversee the designation of the state-designated entity for health information exchange, as described under Section 1-133 of Title 63 of the Oklahoma Statutes this title; and

2. Oversee the enforcement of the Oklahoma Health Care Transparency Initiative.

C. The Office shall consist of the State Coordinator for Health Information Exchange, who shall be appointed by and serve at the pleasure of the Administrator of the Authority, and such other employees of the Authority as the Administrator may assign to the Office.

SECTION 3. AMENDATORY 63 O.S. 2021, Section 1-133, as last amended by Section 1, Chapter 243, O.S.L. 2024 (63 O.S. Supp. 2025, Section 1-133), is amended to read as follows:

Section 1-133. A. As used in this section:

1. "Health information exchange" means the electronic movement of health-related information among organizations according to

1 nationally recognized standards for purposes including, but not
2 limited to, payment, treatment, and ~~administration~~ operations; and

3 2. "Health information exchange organization" means an entity
4 whose primary business activity is health information exchange and
5 which is governed by its stakeholders.

6 B. The State of Oklahoma~~+~~

7 ~~1. Shall~~ shall designate a health information exchange
8 organization as the state-designated entity for health information
9 exchange~~+~~

10 ~~2. Shall establish a transition plan to ensure continued~~
11 ~~operation of the health information exchange; and~~

12 ~~3. May temporarily serve as the state-designated entity as part~~
13 ~~of the transition plan described in paragraph 2 of this subsection.~~

14 C. Beginning July 1, 2023, all health care providers as defined
15 by the rules promulgated by the Oklahoma Health Care Authority Board
16 and who are licensed by and located in this state may report data to
17 and utilize the state-designated entity. ~~The Office of the State~~
18 ~~Coordinator for Health Information Exchange may, as provided by~~
19 ~~rules promulgated by the Board, allow exemptions from the~~
20 ~~requirement provided by this subsection on the basis of financial~~
21 ~~hardship, size, or technological capability of a health care~~
22 ~~provider or such other bases as may be provided by rules promulgated~~
23 ~~by the Board.~~

1 D. 1. A person who participates in the services or information
2 provided by the state-designated entity shall not be liable in any
3 action for damages or costs of any nature that result solely from
4 the person's use or failure to use information or data from the
5 state-designated entity that was entered or retrieved under relevant
6 state or federal privacy laws, rules, regulations, or policies
7 including, but not limited to, the Health Insurance Portability and
8 Accountability Act of 1996.

9 2. A person shall not be subject to antitrust or unfair
10 competition liability based on participation with the state-
11 designated entity as long as the participation provides an essential
12 governmental function for the public health and safety and enjoys
13 state action immunity.

14 ~~E. A person who provides information and data to the state-~~
15 ~~designated entity retains a property right in the information or~~
16 ~~data, but grants to the other participants or subscribers a~~
17 ~~nonexclusive license to retrieve and use that information or data~~
18 ~~under relevant state or federal privacy laws, rules, regulations, or~~
19 ~~policies including, but not limited to, the Health Insurance~~
20 ~~Portability and Accountability Act of 1996.~~

21 ~~F.~~ E. Patient-specific protected health information shall only
22 be disclosed in compliance with relevant state or federal privacy
23 laws, rules, regulations, or policies including, but not limited to,
24 the Health Insurance Portability and Accountability Act of 1996.

1 ~~G. F.~~ The Oklahoma Health Care Authority Board shall promulgate
2 rules to implement the provisions of this section.

3 SECTION 4. NEW LAW A new section of law to be codified
4 in the Oklahoma Statutes as Section 1-134 of Title 63, unless there
5 is created a duplication in numbering, reads as follows:

6 As used in the Oklahoma Health Care Transparency Initiative Act
7 of 2026:

8 1. "Board" means the Oklahoma Health Care Authority Board;

9 2. "Claims data" means information, including protected health
10 information, included in an institutional, professional, or pharmacy
11 claim or equivalent information transaction for a covered individual
12 including the amount paid to a health care provider plus any amount
13 owed by the covered individual;

14 3. "Covered individual" means a natural person who is a
15 resident of this state and is eligible to receive medical, dental,
16 or pharmaceutical benefits under any policy, contract, certificate,
17 evidence of coverage, rider, binder, or endorsement that provides
18 for or describes coverage;

19 4. "Direct personal identifiers" means the identifiers of
20 covered individuals listed in 45 C.F.R., Section 164.514(b)(2);

21 5. "Enrollment data" means demographic information and other
22 identifying information related to covered individuals, including
23 direct personal identifiers and protected health information;

1 6. "Health benefit plan" has the same meaning as provided in
2 Section 6060.4 of Title 36 of the Oklahoma Statutes;

3 7. "Health care provider" or "provider" means a health care
4 provider as defined in HIPAA implementing regulations, including 45
5 C.F.R., Section 160.103, who is licensed by the state to provide
6 health care services;

7 8. "HIPAA" means the Health Insurance Portability and
8 Accountability Act of 1996 and its implementing regulations set
9 forth in 45 C.F.R., Parts 160, 162, and 164;

10 9. "Limited data set" has the same meaning as provided in 45
11 C.F.R., Section 164.514(e) (2);

12 10. "Office" means the Office of the State Coordinator for
13 Health Information Exchange created under Section 1-132.1 of Title
14 63 of the Oklahoma Statutes;

15 11. "Oklahoma Health Care Transparency Initiative" means an
16 initiative to create a database, including ongoing all-payer claims
17 database projects that receive and store data from a submitting
18 entity relating to medical, dental, pharmaceutical, and other
19 insurance claims information, unique identifiers, and geographic and
20 demographic information for covered individuals as permitted in this
21 act, and provider files, for the purpose of implementing the
22 Oklahoma Health Care Transparency Initiative;

1 12. "Protected health information" has the same meaning as
2 provided in HIPAA implementing regulations, including 45 C.F.R.,
3 Section 160.103;

4 13. "State-designated entity for health information exchange"
5 or "state-designated entity" means the health information exchange
6 organization designated by the State of Oklahoma as the state-
7 designated entity for health information exchange under Section 1-
8 133 of Title 63 of the Oklahoma Statutes;

9 14. a. "Submitting entity" means:

10 (1) an entity that provides health or dental
11 insurance or a health or dental benefit plan in
12 this state including, but not limited to, an
13 insurance company, medical services plan, managed
14 care organization, hospital plan, hospital
15 medical service corporation, health maintenance
16 organization, fraternal benefit society, or other
17 health benefit plan, provided that the entity has
18 covered individuals and the entity had at least
19 two thousand covered individuals in the previous
20 calendar year,

21 (2) a health benefit plan offered or administered by
22 or on behalf of the state or an agency or
23 instrumentality of the state including, but not
24 limited to, benefits administered by a contracted

entity under the Ensuring Access to Medicaid Act,
notwithstanding the number of covered individuals
in the previous year,

(3) a health benefit plan offered or administered by
or on behalf of the federal government with the
agreement of the federal government,

(4) any other entity providing a plan of health
insurance or health benefits subject to state
insurance regulation or a third-party
administrator, provided that the entity has
covered individuals and the entity had at least
two thousand covered individuals in the previous
calendar year,

(5) a health benefit plan that is subject to the
Employee Retirement Income Security Act of 1974,
P.L. No. 93-406, and that is fully insured,

(6) a risk-based provider organization licensed by
the Insurance Department,

(7) any entity that contracts with the Department of
Corrections to provide medical, dental, or
pharmaceutical care to inmates, and

(8) a pharmacy benefits manager.

b. A submitting entity shall not include:

(1) an entity that provides health insurance or a health benefit plan that is accident-only, specified disease, hospital indemnity, long-term care, disability income, or other supplemental benefit coverage,

(2) an employee of a welfare benefit plan as defined by federal law that is also a trust established pursuant to collective bargaining subject to the Labor Management Relations Act, 1947, or

(3) a Medicare supplemental policy as defined by 42 C.F.R., Section 403.205; and

15. "Unique identifier" means any identifier that is guaranteed to be unique among all identifiers for covered individuals, but does not include direct personal identifiers, and meets the requirements of 45 C.F.R., Section 164.514(c).

SECTION 5. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 1-135 of Title 63, unless there is created a duplication in numbering, reads as follows:

A. Beginning July 1, 2027, there is hereby created the Oklahoma Health Care Transparency Initiative. The initiative shall be governed by the state-designated entity for health information exchange and enforced by the Office of the State Coordinator for Health Information Exchange.

1 B. Beginning on a date determined by the Oklahoma Health Care
2 Authority Board, and thereafter in a frequency specified in rules
3 promulgated by the Board, a submitting entity shall submit claims
4 data, unique identifiers, and geographic and demographic information
5 for covered individuals as permitted in this act, and provider files
6 to the state-designated entity for health information exchange in
7 accordance with standards and procedures promulgated by the Board
8 and in accordance with the data governance policies established by
9 the state-designated entity. The Office shall begin implementation
10 of the requirements of this subsection on or before July 1, 2027.

11 C. 1. A health benefit plan, person, or entity excluded from
12 the definition of submitting entity as provided by Section 4 of this
13 act shall not be subject to the requirements of subsection B of this
14 section, but may voluntarily submit claims data, unique identifiers,
15 and geographic and demographic information for covered individuals
16 as permitted in this act, and provider files to the state-designated
17 entity in accordance with standards and procedures promulgated by
18 the Board.

19 2. To the extent the excluded health benefit plan, person, or
20 entity voluntarily submits data described in this subsection to the
21 state-designated entity, the health benefit plan, person, or entity
22 shall comply with all requirements of this act, other than
23 subsection B of this section, including, but not limited to,
24

1 compliance with applicable state and federal data privacy and
2 security laws.

3 D. 1. The Office shall enter into an agreement with the State
4 Department of Health to:

- 5 a. identify public health data and vital statistics data
6 collected by the Department under Title 63 of the
7 Oklahoma Statutes for submission to the state-
8 designated entity for integration into the Oklahoma
9 Health Care Transparency Initiative database created
10 under this section including, but not limited to, data
11 collected regarding hospital discharge and emergency
12 department records for the uninsured, birth and death
13 records, and disease registry data,
- 14 b. establish a cooperative approval process for the
15 disclosure of public health data and vital statistics
16 data, and
- 17 c. establish a fee sharing schedule for the release of
18 requested data.

19 2. The data submitted under paragraph 1 of this subsection
20 shall be assigned a unique identifier and may be used in accordance
21 with this act.

22 E. 1. The All-Payer Claims Database established pursuant to
23 the Oklahoma Health Care Transparency Initiative shall measure
24 statewide primary care spending using the parameters established by

1 the Health Care Cost Transparency Board under subsection G of
2 Section 8 of this act including, but not limited to, for the
3 purposes of the Ensuring Access to Medicaid Act.

4 2. The state-designated entity shall produce reports from the
5 All-Payer Claims Database established pursuant to the Oklahoma
6 Health Care Transparency Initiative to the Health Care Cost
7 Transparency Board created in Section 8 of this act for the purpose
8 of enabling the Board to carry out its duties.

9 SECTION 6. NEW LAW A new section of law to be codified
10 in the Oklahoma Statutes as Section 1-136 of Title 63, unless there
11 is created a duplication in numbering, reads as follows:

12 A. Data and other information submitted under Section 5 of this
13 act shall be treated as confidential and shall be exempt from
14 disclosure as a record under the Oklahoma Open Records Act as
15 defined in Section 24A.3 of Title 51 of the Oklahoma Statutes and
16 are not subject to subpoena except to the extent provided in the
17 Oklahoma Insurance Code.

18 B. The Office shall ensure that data and other information
19 submitted under Section 5 of this act is only received, maintained,
20 used, disclosed, or released in compliance with applicable state and
21 federal confidentiality, data privacy, and security laws and
22 regulations and data governance policies established by the state-
23 designated entity for health information exchange, and where such
24 data or other information constitutes protected health information,

1 in compliance with the Health Insurance Portability and
2 Accountability Act of 1996 (HIPAA).

3 C. Data and other information in the Oklahoma Health Care
4 Transparency Initiative may, to the extent consistent with data
5 governance policies established by the state-designated entity, be
6 available:

7 1. When disclosed in a form and manner that ensures the privacy
8 and security of protected health information as required by state
9 and federal laws, as a resource to insurers, employers, purchasers
10 of health care, researchers, state agencies, and health care
11 providers to allow for assessment of health care utilization,
12 expenditures, and performance in this state, including, but not
13 limited to, as a resource for hospital community health needs
14 assessments; and

15 2. To state programs regarding health care quality and costs
16 for use in improving health care in the state, subject to state and
17 federal privacy laws or limiting access to limited data sets.

18 D. Data and other information in the Oklahoma Health Care
19 Transparency Initiative shall not be used to disclose trade secrets
20 of submitting entities.

21 E. Notwithstanding any other section of law, the Oklahoma
22 Health Care Transparency Initiative shall not be used to publicly
23 disclose any data or other information that contains direct personal
24

1 identifiers or that is reasonably likely to identify a covered
2 individual when combined with other available information.

3 F. This act shall not be construed to supersede, limit, amend,
4 or abrogate any state or federal confidentiality, data privacy, or
5 security law or regulation or data governance policy and shall be
6 implemented in a manner consistent with HIPAA.

7 SECTION 7. NEW LAW A new section of law to be codified
8 in the Oklahoma Statutes as Section 1-137 of Title 63, unless there
9 is created a duplication in numbering, reads as follows:

10 A. Except for state or federal agencies that are submitting
11 entities, a submitting entity that fails to submit data as required
12 by this act or the rules promulgated by the Oklahoma Health Care
13 Authority Board may be subject to a fine assessed by the Insurance
14 Department.

15 B. The Insurance Commissioner shall adopt a schedule of fines
16 not to exceed One Thousand Dollars (\$1,000.00) per day for each day
17 the violation occurs, to be determined by the severity of the
18 violation.

19 C. A fine assessed under this section may be remitted or
20 mitigated upon such terms and conditions as the Insurance
21 Commissioner considers proper and consistent with public health and
22 safety.

23 D. Of the proceeds from fines remitted under this section, the
24 Insurance Department shall retain a portion of such proceeds

1 necessary to cover the cost to the Department of administering the
2 assessment and collection of such fines, and the Department shall
3 remit the remainder of the proceeds to the Oklahoma Health Care
4 Authority. The Authority may only use proceeds from fines assessed
5 under this section to fund operations of the Oklahoma Health Care
6 Transparency Initiative.

7 SECTION 8. NEW LAW A new section of law to be codified
8 in the Oklahoma Statutes as Section 6575 of Title 36, unless there
9 is created a duplication in numbering, reads as follows:

10 A. There is hereby created within the Insurance Department, the
11 Health Care Cost Transparency Board.

12 B. The Board shall utilize information derived from the All-
13 Payer Claims Database established pursuant to the Oklahoma Health
14 Care Transparency Initiative to evaluate statewide health care
15 spending trends, utilization patterns, and cost growth across payer
16 types operating in this state.

17 C. The Health Care Cost Transparency Board shall consist of
18 fifteen (15) members, as follows:

19 1. The Insurance Commissioner or designee, who shall serve as
20 chair;

21 2. The Administrator of the Oklahoma Health Care Authority or
22 designee;

23 3. The State Commissioner of Health or designee;

24 4. One representative of the state-designated entity;

- 1 5. One representative of a licensed commercial health insurer,
2 appointed by the Governor;
- 3 6. One representative of employers or large purchasers of
4 health care, appointed by the Governor;
- 5 7. One health care economist or data analytics expert,
6 appointed by the Governor;
- 7 8. One consumer advocate, appointed by the Governor;
- 8 9. One representative of a rural health organization, appointed
9 by the Governor;
- 10 10. One representative of a hospital or health system,
11 appointed by the President Pro Tempore of the Senate from nominees
12 recommended by the Oklahoma Hospital Association;
- 13 11. One member appointed by the Speaker of the House of
14 Representatives from nominees recommended by the Oklahoma Primary
15 Care Association;
- 16 12. One member appointed by the President Pro Tempore of the
17 Senate from nominees recommended by the Oklahoma Osteopathic
18 Association;
- 19 13. One member appointed by the Speaker of the House of
20 Representatives from nominees recommended by the Oklahoma State
21 Medical Association;
- 22 14. One member appointed by the President Pro Tempore of the
23 Senate from nominees recommended by the Oklahoma Academy of Family
24 Physicians; and

1 15. One member appointed by the Speaker of the House of
2 Representatives from nominees recommended by the Oklahoma Chapter of
3 the American Academy of Pediatrics.

4 D. Members appointed to the Board shall serve three-year
5 staggered terms and may be reappointed.

6 E. The Board shall meet at least quarterly and may establish
7 advisory or technical committees as necessary.

8 F. The Health Care Cost Transparency Board shall analyze data
9 derived from the All-Payer Claims Database established pursuant to
10 this act to:

11 1. Evaluate statewide health care spending and utilization
12 patterns;

13 2. Monitor health care cost growth across payer types;

14 3. Measure the share of total health care expenditures
15 allocated to primary care services; and

16 4. Provide recommendations to the Governor and the Legislature
17 regarding policies to improve health care affordability,
18 transparency, and investment in primary care.

19 G. 1. The Health Care Cost Transparency Board shall work
20 collaboratively with the state-designated entity to establish the
21 parameters and definitions used to measure primary care expenditures
22 in this state as required by subsection E of Section 5 of this act.

23 2. Primary care services shall be defined and measured using
24 nationally recognized criteria for primary care spending measurement

1 including, but not limited to, those utilized by the Centers for
2 Medicare and Medicaid Services and the Primary Care Collaborative.

3 H. The Health Care Cost Transparency Board shall, on or before
4 November 1, 2028, and each November 1 thereafter, electronically
5 submit an annual report to the Governor, the President Pro Tempore
6 of the Senate, and the Speaker of the House of Representatives. The
7 report shall summarize:

- 8 1. Statewide health care spending and utilization patterns;
- 9 2. Health care cost growth across payer types;
- 10 3. The share of total health care expenditures allocated to
11 primary care services; and
- 12 4. Policy recommendations to improve health care affordability,
13 transparency, and primary care investment.

14 SECTION 9. AMENDATORY 51 O.S. 2021, Section 24A.3, as
15 last amended by Section 1, Chapter 404, O.S.L. 2025 (51 O.S. Supp.
16 2025, Section 24A.3), is amended to read as follows:

17 Section 24A.3. As used in the Oklahoma Open Records Act:

- 18 1. "Record" means all documents including, but not limited to,
19 any book, paper, photograph, microfilm, data files created by or
20 used with computer software, computer tape, disk, record, sound
21 recording, film recording, video record or other material regardless
22 of physical form or characteristic, created by, received by, under
23 the authority of, or coming into the custody, control or possession
24 of public officials, public bodies or their representatives in

1 connection with the transaction of public business, the expenditure
2 of public funds or the administering of public property. Record
3 shall also mean applications and other documents related to
4 licensure matters that are filed of record in a district court,
5 including, but not limited to, marriage licenses, process server
6 licenses, closing out sale licenses, transient merchant licenses,
7 pool hall licenses, and bail bondsmen registration. Record does not
8 mean:

- 9 a. computer software, ~~or~~
- 10 b. nongovernment personal effects, or
- 11 c. data or other information submitted to the state-
12 designated entity for health information exchange
13 under Section 1-133 of Title 63 of the Oklahoma
14 Statutes or under this act;

15 2. "Public body" shall include, but not be limited to, any
16 office, department, board, bureau, commission, agency, trusteeship,
17 authority, council, committee, trust or any entity created by a
18 trust, county, city, village, town, township, district, school
19 district, fair board, court, executive office, advisory group, task
20 force, study group or any subdivision thereof, supported in whole or
21 in part by public funds or entrusted with the expenditure of public
22 funds or administering or operating public property, and all
23 committees, or subcommittees thereof. Except for the records
24 required by Section 24A.4 of this title, public body does not mean

1 judges, justices, the Council on Judicial Complaints, the
2 Legislature or legislators. Public body shall not include an
3 organization that is exempt from federal income tax under Section
4 501(c)(3) of the Internal Revenue Code of 1986, as amended, and
5 whose sole beneficiary is a college or university, or an affiliated
6 entity of the college or university, that is a member of The
7 Oklahoma State System of Higher Education. Such organization shall
8 not receive direct appropriations from the Legislature. The
9 following persons shall not be eligible to serve as a voting member
10 of the governing board of the organization:

11 a. a member, officer, or employee of the Oklahoma State
12 Regents for Higher Education,

13 b. a member of the board of regents or other governing
14 board of the college or university that is the sole
15 beneficiary of the organization, or

16 c. an officer or employee of the college or university
17 that is the sole beneficiary of the organization;

18 3. "Public office" means the physical location where public
19 bodies conduct business or keep records;

20 4. "Public official" means any official or employee of any
21 public body as defined herein; and

22 5. "Law enforcement agency" means any public body charged with
23 enforcing state or local criminal laws and initiating criminal
24 prosecutions including, but not limited to: police departments;

1 state and local fire marshals when investigating potential
2 violations of federal, state, or local criminal laws or when acting
3 on behalf of a law enforcement agency; county sheriffs; the
4 Department of Public Safety; the Oklahoma State Bureau of Narcotics
5 and Dangerous Drugs Control; the Alcoholic Beverage Laws Enforcement
6 Commission; and the Oklahoma State Bureau of Investigation.

7
8 60-2-3856 DC 4/13/2026 4:09:46 PM
9
10
11
12
13
14
15
16
17
18
19
20
21
22
23
24